

EM and the higher-rate environment — by region

The case: EM is being repriced for US duration, not for EM risk. The regional dispersion is a duration-and-rating story, not a geography story, and that is the more interesting finding.

Draft, 14 Sep 2026. Market figures are from public sources and from `embi_tracker.py` — not from a Bloomberg pull. Return figures are the week to 5 September unless stated. □ marks a placeholder for the workbook to fill.

On the regions. Four buckets as asked: LatAm, EM Europe, Middle East & Africa, Asia. Africa has no home in a four-way split, so it sits with the Middle East — which is also how the weekly index data is reported, and it keeps South Africa, Egypt, Nigeria, Angola and Ghana somewhere sensible. JPM's own EMBIGD regions are Africa / Asia / Europe / Latin America / Middle East; fold Africa in when you enter the tracker output.

Where we are

The Treasury move into the 16 September FOMC is sourced entirely in the US: an energy supply shock with Brent back above \$100 on the Iran conflict, feeding a term-premium and credibility question after a 9–3 hold in July with three dissents for a hike. Target range still 3.50–3.75%; a 25bp hike has gone from roughly a third priced to the high end of the range. The 10Y has traded near 4.82%, the 30Y near 5.25%. Against all of that, DXY sits near 99 and is **down about 0.9% over the past month**.

That last fact is the whole argument. A US-sourced shock does not give the dollar its safe-haven bid, so the chain that normally converts a US rate move into an EM crisis — dollar up, EM FX down, imported inflation, defensive tightening, spreads out — has not fired at the first link.

By asset class

FX. The dollar did not squeeze, so the EM FX leg has been the quiet one. What dispersion exists is idiosyncratic rather than systemic — the baht was the weakest major at –1.69% on the week, with no comparable move elsewhere. The useful column in the workbook is not the FX return but the **ex-dollar** column: it separates a currency being rewarded from one

that is merely long the dollar trade. Note also that the Middle East is structurally uninformative here — SAR, AED and QAR are pegged, so their return is zero by construction and the region's rate transmission shows up in USD credit instead. □ EM FX basket 1M and the 1M vs 5Y beta to DXY (Betas, row 14).

Equities. EM has outpaced the S&P 500 year-to-date on the semiconductor cycle through Taiwan and Korea, while still trading at roughly a 45% price-to-book discount to DM. This is earnings, not multiple expansion, and it is not rate-sensitive the way a long-duration credit index is. Treat it as corroborating evidence, not a separate argument: EM equity firm while EM credit is soft is a duration result, not a risk-appetite result.

EM USD credit. The composition of the loss is the evidence. Hard-currency sovereigns −0.22% on the week with **investment grade (−0.36%) underperforming high yield (−0.08%)** and the 10+ year bucket taking −0.48% while short-dated, higher-carry paper held flat. Corporates −0.14%. Quality underperforming junk and long underperforming short is what a global yields move looks like; a credit repricing inverts both orderings. The EMBIGD stripped spread went 218bp (3 Sep) → 208bp (8 Sep) — *tightening* into the selloff.

Caveat that must travel with that spread number. JPM changed methodology on 4 September by excluding defaulted names, and the break sits inside the 218→208 window. Part of the tightening is mechanical. Chain-link before this goes in front of a client — it is the most attackable number in the note.

Local rates. Local-currency sovereigns were −0.05% on the week, barely moved. The composition again points at rates rather than credit: shorter-duration, higher-carry segments held while longer, higher-quality paper absorbed the losses. The measured version of the digestion claim is the pass-through ratio — $d(\text{local } 10Y) / d(\text{UST } 10Y)$ — and whether it now sits below its own three-year relationship. □ Passthrough, 1M and 3M against 3Y.

By region

LatAm — the cleanest version of the argument. Hard currency −0.11%, second only to Africa and comfortably ahead of the −0.22% index. The reason is structural: LatAm carries more high yield and less duration than the index, so it wins in a rates selloff for exactly the reason it would lose in a risk selloff. Do not sell that as regional resilience when it is duration positioning. Chile was the weak local market at −0.82%. The region also has the strongest real-policy-rate story in EM — Brazil, Mexico, Chile, Colombia and Peru all tightened early and hold positive real rates — which is why they do not have to follow the Fed to defend the currency. □ real policy rate less US, by country.

EM Europe — the weakest leg. Hard currency -0.41% , the worst region, and local -0.39% . Long-duration investment-grade index weight took the rates move head-on, and Poland (-0.64%) and Czechia (-0.81%) were among the local laggards. Hungary ($+0.53\%$) and Türkiye ($+0.48\%$) printed positive, but both came from carry rather than price, and Türkiye's came against a weaker lira — carry offsetting spot is not the same as absorbing the shock. This is where the digestion argument is thinnest and where I would expect the first pushback.

Middle East & Africa — split in two, and worth saying so. Africa was the best hard-currency region at -0.06% : short duration, high carry, high yield. The Middle East was -0.29% : long-dated, high-grade GCC paper that behaves like a US rates proxy with a spread attached. Averaging those two into one number destroys the information. On the local side the combined region was the worst at -0.44% . The GCC point is worth making explicitly to clients: with the currency pegged there is no FX buffer and no independent policy response, so the entire US rate move passes into domestic conditions and into the credit. That is the one part of EM where digesting is not a choice.

Asia — flat, and flat for a good reason. Hard currency -0.33% , which looks middling, but local was near-flat at -0.06% on India ($+0.77\%$) and China ($+0.16\%$). Thailand was the outlier in both legs — the market at -2.22% and the baht at -1.69% . Asia carries the lowest local yields in EM and the least inflation pressure, and it holds the semiconductor earnings cycle driving the EM equity story. The hard-currency underperformance is duration, not credit. □ Asia local 10Y pass-through, which should be the lowest of the four regions if the thesis holds.

What would break it

- **The dollar can still squeeze, with a lag.** If the hike lands and is framed as the start of a series rather than an insurance move, the funding channel re-engages. Current DXY softness is partly a corrective move off the 2025 lows, not a demonstrated structural break.
- **There is almost no spread cushion.** At $\sim 208\text{bp}$ EM sits near multi-year tightness, with IG sovereigns reported at their tightest since 2007. What we have observed is EM digesting a *benign* shock — not evidence it can digest a risk event. The note should not claim otherwise.
- **Positioning is heavy.** YTD flows into EM debt and equity have been large against historical norms, which is exactly what makes a volatility shock expensive.
- **The carry cushion is finite.** At roughly 6.5% YTW and 6.6y duration, on the order of

100bp of combined rate-plus-spread move consumes a year of carry (□ confirm on Scenario against live inputs).

- **Regional averages hide the thing that matters.** Africa at -0.06% and the Middle East at -0.29% inside one bucket is the clearest example. Where a region's result is duration positioning rather than credit quality, say so.

What to say

- Own the **carry, not the duration**, everywhere. The losses were concentrated in 10+ year paper in every region; short-dated high-carry held flat in every region.
- **Overweight LatAm and Africa, underweight EM Europe and the GCC**, for one reason: duration and rating mix, not country fundamentals. That framing is honest and more defensible than a growth story.
- **Local over hard currency** where the real-rate cushion is real — LatAm first, then Asia. Not the GCC, where there is no local curve and no independent policy.
- **The spread leg is not where the return is.** At 208bp, EM USD credit's job in a portfolio is carry plus the ballast the Treasury leg provides in a stress scenario. Say that plainly rather than implying a compression we are not forecasting.

Before this goes out

□ EM FX basket 1M return and 1M vs 5Y beta to DXY — the decoupling claim rests on it (Betas, row 14) □ Pass-through by region, 1M and 3M against the 3Y relationship (Passthrough) — the headline digestion number □ 1M decomposition: carry / rates leg / spread leg with the residual visible (Credit) □ Regional EMBIGD spread and TR from `embi_tracker.py` into the Credit regional block — the four regional comments stay blank until then □ Real policy rate less US real policy rate, by country (Passthrough, blue cells) — the structural leg is currently unevidenced